GMS WEEKLY

Your Source for Recycling News

March 10th, 2023
Volume 248, Issue 1073
Week 10

Highlights:

- **Bangla surge.**
- **Over 600/LDT.**
- **No tankers.**
- **Decent sales.**
- **India lags.**
- **Scan to download GMS Recycling App**

QUOTE of the WEEK

"When it comes to luck, you make your own."

– Bruce Springsteen

MARKET COMMENTARY

FIRMLY POISED!

Recycling markets remain firmly poised for another week, following a stunning resurgence by the Bangladeshi market (in particular) that leaves them atop the price rankings board.

Indeed, levels close to and even over USD 600/LDT are now being regularly presented on various vessels and this is inducing more Ship Owners to sell their vessels, especially as freight rates in the dry bulk and container sectors are failing to improve sufficiently for Owners to keep holding onto their aging tonnage.

Cape rates have come back this past week, leaving question marks over whether the larger LDT dry units will hit recycling markets any time soon. Overall, container and dry bulk chartering levels are still sufficiently down from the previous few restorative years.

Tankers are pretty much assured not to come for recycling anytime soon - especially as wet tonnage continues to earn impressively high numbers after the last few years of bloodletting and pain.

On the local markets front, after an extremely barren 8 months or so in Bangladesh, it is good to see the market there back firing on all cylinders and some excellent numbers have been seen in recent weeks, particularly on various LNGS, Capes, and Containers.

India lags a rampant Bangladesh by some ways but is still competitive on the raft of green HKC vessels that continue to be made available, and sentiments are indeed firming again in Alang off the back of a repeal in import duty on floating assets for recycling.

Pakistan is stranded far from any meaningful activity – both struggling with L/Cs and competitive pricing, so there is little sense talking vessels into a marginalized Gadani at present.

Finally, the Turkish market has reported a softening of import steel rates as the Lira plummets to a new record low approaching TRY 19.X against the U.S. Dollar.

For week 10 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Positive	585 / LDT*	605 / LDT*	625 / LDT*
2	India	Positive	570 / LDT	580 / LDT	600 / LDT
3	Pakistan	Weak	540 / LDT*	550 / LDT*	560 / LDT*
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

**Subject L/C approval*

BANGLADESH

TAKING TONNAGE!

Activity excites.

After a raft of recent sales – including a Sinokor LNG and several high-priced Capes & Containers, it was a slightly slower paced week in terms of activity this time around, although sentiments and pricing remain extremely positive in Bangladesh.

Indeed, offers on select vessels are in excess of USD 600/LDT for the first time in almost a year, and this has encouraged several owners to cash in on their vintage tonnage.

LC solutions.

The question of workable L/Cs (Letters of Credit) still remains a sensitive one, but the IMF discussions on loans, which is set to inject billions into the country and ease liquidity issues, is still ongoing.

Notwithstanding, end Buyers have managed to secure alternate means of financing (including personal / private source of funds and Usance L/Cs) to ensure Cash Buyers get paid on their incoming tonnage.

On the fundamentals front, the Taka remains steady just shy of BDT 106 against the U.S. Dollar, whilst local steel plate prices seem to have flatlined for much of the week.

Finally, in further local developments, reportedly two more Chattogram recycling yards have obtained class NK HKC certification – a testament to the hard work and desire to improve and upgrade standards locally that has led us to this impressive feat.

NO MARKET SALES REPORTED

INDIA

KEEN TO COMPETE!

As the second placed recycling destination, it was unsurprising to see a quieter week in Alang as Bangladeshi recyclers continue to steal the limelight with the best priced deals.

Second placed.

The Indian Rupee is trading in the low Rs. 82s against the U.S. Dollar and local steel plate prices (though marginally stronger this week) seem to have settled after a volatile period, with extreme fluctuations seen by the day, often fraying end user nerves / shredding confidence.

India remains in the hunt for any available vessels – particularly favoured containers or HKC green sales, of which there have been several already this year after one of the lowest years for recycling volumes during 2022.

In the hunt.

NO MARKET SALES REPORTED

PAKISTAN

UNABLE & UNWILLING!

Dour.

Another dour week of inaction has passed in Gadani and there seems little hope of any serious activity taking place on offers or sales, all whilst fundamentals remain in the shambles they currently are.

For starters, Pakistani Buyers are unable to open L/Cs to import vessels and until there is greater liquidity / willingness to sanction financing on ships for recycling, it would be premature to expect any sales taking place into Gadani.

Well off.

Furthermore, prices remain well off from what Bangladesh and even India are paying, so Pakistan is both unable and unwilling to acquire tonnage for recycling at present. This is also evident via local port reports, where it has been about a month since any fresh units have arrived the local waterfront.

Adding fuel to the local fire are domestic fundamentals, with local steel declining about USD 15/Ton and the Pakistani Rupee performing even worse than before, as it stands at the doorstep of PKR 280 against the U.S. Dollar.

As such, local confidence remains in shambles as fundamentals are simply not helping the Gadani ship recycling community.

NO MARKET SALES REPORTED

TURKEY

STATUS QUO!

Minimal activity to report from the Turkish market this week as there is still no news of fixtures (market of private) that are emanating from Aliaga.

Record low.

Local steel plate prices reportedly declined by about USD 15/Ton this week, while the Turkish Lira, like the Pakistani Rupee, is creating record lows against the U.S. Dollar as it approaches TRY 19.0.

With sub-continent levels pushing on further into the USD 600s/LDT and the gap widening from Turkish offers, it may be interesting to see how many Owners will go the Aliaga way and be willing to settle for half the residual value of their vintage units.

Residual value.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *"OK" most likely stands for fake words. In the 1830s, people jokingly spelled abbreviations incorrectly. One of the most famous: "All correct" turned into "orl korrekt," and then of course into OK. Historians think it stuck because Martin Van Buren—known as Old Kinderhook, after his hometown in New York—supporters called themselves the OK Club when he was campaigning for reelection.*
- *The Eiffel Tower was originally intended for Barcelona. The Spanish city thought the design was too ugly, so Gustave Eiffel pitched it to Paris instead, as a temporary landmark during its 1889 International Exposition. French critics didn't like it much either though.*
- *Queen Elizabeth II's cows sleep on waterbeds. They apparently help ease the cattle's pressure points.*
- *British military tanks are equipped to make tea. There's a boiling vessel inside so crew can make tea and coffee anytime—including during battle.*
- *Researchers once turned a live cat into a telephone. Princeton researchers Ernest Wever and Charles Bray took out a cat's skull and most of its brain to connect the animal to electricity. When they spoke into the cat's ear, the sound could be heard through a phone receiver in another room. The twisted experiment paved the way for cochlear implant developments.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
March 30 – Ram Navami	March 07 – March 13 March 19 – Mar h 26

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
March 17 – Birth of the Father of the Nation March 26 – Independence and National Day	March 09 – March 12 March 21 – March 24

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in March	March 08 – Holi March 23 – Pakistan Day	**No Holidays in March**

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ALANG - Port Position as of March 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Halul 22 (Under Tow)*	*1,404*	*OSV*	*Beached March 08*
2	*Halul 27 (Under Tow)*	*1,937*	*OSV*	*Beached March 09*
3	Monet	2,018	LPG	Arrived March 08
4	*Sas 1*	*2,113*	*Supply Vessel*	*Beached March 08*
5	*Stella Karina*	*1,263*	*F/V*	*Beached March 07*
6	*Wan Chai 6*	*6,995*	*Container*	*Beached March 09*
7	Wan Chai 7	7,008	Container	Arrived March 08
Total Tonnage		**22,739**		

CHATTOGRAM - Port Position as of March 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Sam*	*24,181*	*Bulk Carrier*	*Beached March 10*
2	*BNS Tista*	*149*	*Patrol Boat*	*Beached March 05*
3	Express 1	1,820	RoRo	Arrived March 07
4	*Kamo*	*4,426*	*General Cargo*	*Beached March 09*
5	*Ning Feng 316*	*11,350*	*Bulk Carrier*	*Beached March 09*
6	*Sea Win*	*7,488*	*Bulk Carrier*	*Beached March 09*
7	*Vadi*	*10,248*	*Bulk Carrier*	*Beached March 10*
8	Xiumei Shanghai	7,335	Container	Arrived February 25
Total Tonnage		**66,996**		

GADANI - Port Position as of March 10, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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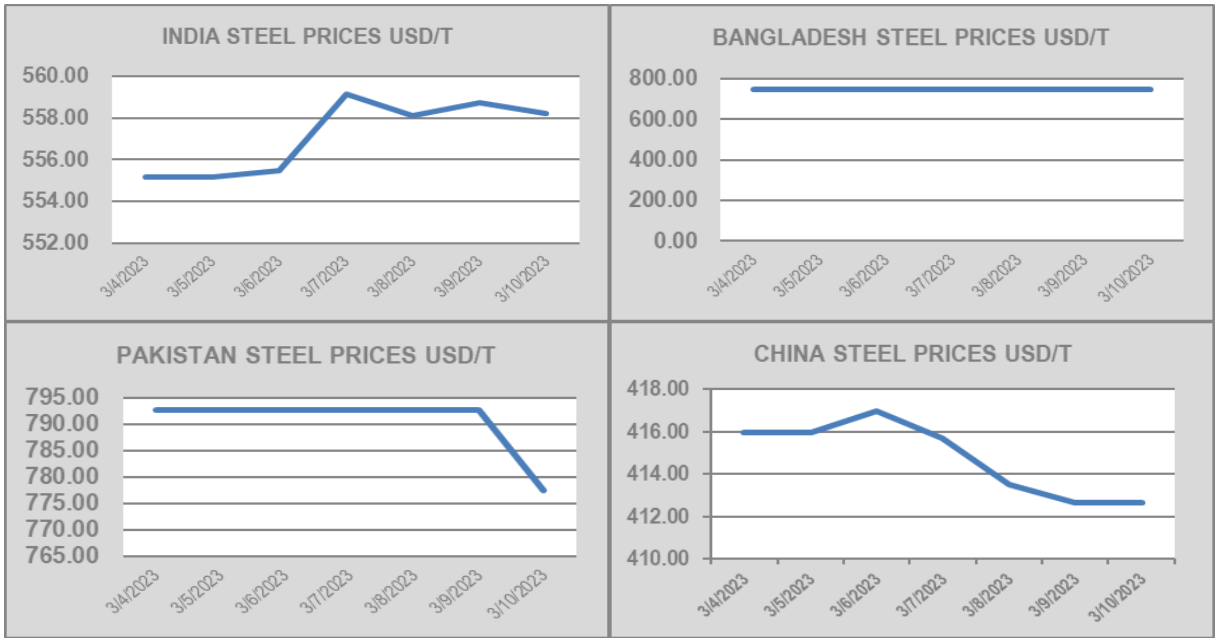
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/4/2023	555.15	45,500.00	792.73	218,000.00	750.00	78,000.00	415.96
3/5/2023	555.15	45,500.00	792.73	218,000.00	750.00	78,000.00	415.96
3/6/2023	555.49	45,500.00	792.73	218,000.00	750.00	78,000.00	416.96
3/7/2023	559.15	45,800.00	792.73	218,000.00	750.00	78,000.00	415.73
3/8/2023	558.13	45,800.00	792.73	218,000.00	750.00	78,000.00	413.52
3/9/2023	558.74	45,800.00	792.73	218,000.00	750.00	78,000.00	412.68
3/10/2023	558.20	45,800.00	777.39	220,000.00	750.00	78,000.00	412.68



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